

Multiple Choice

1. **Answer:** B

Options: A) Country A also has a financial account surplus.; B) Country A has a financial account deficit.; C) Country A must borrow from its foreign reserves.; D) Country A is operating in a recessionary gap.

Note: A current account surplus indicates that a country is exporting more goods, services, and capital than it is importing, which typically leads to a financial account deficit as the excess funds are used to invest abroad.

2. **Answer:** C

Options: A) The price elasticity of demand is unit elastic.; B) The price elasticity of demand is inelastic.; C) The price elasticity of demand is elastic.; D) The numerical coefficient of elasticity is equal to one.

Note: The price elasticity of demand is considered elastic because the percentage change in quantity demanded (30 percent increase in total revenue) is greater than the percentage change in price (15 percent decrease), indicating that consumers are highly responsive to price changes.

3. **Answer:** D

Options: A) Speculation that the peso will increase in value; B) An increase in interest rates in Mexico relative to other countries; C) A lower rate of inflation in Mexico relative to other countries; D) A decrease in the international demand for Mexican-made textiles

Note: A decrease in the international demand for Mexican-made textiles reduces the need for foreign buyers to purchase pesos to pay for those goods, leading to a leftward shift in the demand curve for the peso.

4. **Answer:** B

Options: A) \$20; B) \$180; C) \$2,000; D) Greater than 200butlessthan500

Note: The correct answer is 180becausewithareserveratioof0.1,thebankmustkeep10

4. **Answer:** D

Options: A) AVC that first rises, but eventually falls, as output increases.; B) AFC that first rises, but eventually falls, as output increases.; C) MP that first falls, but eventually rises, as output increases.; D) MC that first falls, but eventually rises, as output increases.

Note: The Law of Diminishing Marginal Returns states that as more units of a variable input are added to a fixed input, the additional output produced will eventually decrease, leading to a situation where marginal cost initially decreases with increased output but ultimately rises as the efficiency of production decreases.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: When depository institutions choose to hold more excess reserves instead of lending them out, the overall money supply is curtailed because less money is created through the lending process, which relies on the reserve requirement ratio.

7. **Answer:** False

Options: A) True; B) False

Note: The statement is false because differences in human capital stock typically lead to wage differentials, as higher levels of education and skills generally command higher wages in the labor market.

8. **Answer:** False

Options: A) True; B) False

Note: The statement is false because stagflation is characterized by stagnant economic growth, high unemployment, and high inflation, which leads to fewer job opportunities rather than an increase.

9. **Answer:** False

Options: A) True; B) False

Note: Monopoly deadweight loss arises from setting the price above marginal cost, not average total cost, which leads to reduced consumer surplus and overall market inefficiency.

10. **Answer:** True

Options: A) True; B) False

Note: In economics, 'capital' specifically denotes the physical assets, such as plant and equipment, that are utilized in the production process to create goods and services.

Long Form Response

11. **Answer:** When Tiger Woods purchases a golf ball for 1, *it can positively influence England's real GDP* spent by Woods leads to an additional 0.75 *being spent by the seller on other goods, which in turn generate* on real GDP when considering the multiplier effect. Thus, Woods' purchase can significantly stimulate economic activity in England.

Note: correct because it illustrates how Tiger Woods' 1 *purchase can initiate a multiplier effect in the economy* on real GDP.

12. **Answer:** There are several arguments for restricting trade, including protecting domestic industries, preserving jobs, and ensuring national security. Advocates believe that limiting imports can help local businesses compete, which in turn can safeguard employment levels. However, fighting inflation is not typically considered a valid reason for trade restrictions because inflation is usually managed through monetary policy rather than trade barriers. Trade restrictions can lead to higher prices for consumers,

as they reduce competition and limit choices, potentially exacerbating inflation rather than alleviating it. Therefore, while there are valid reasons for trade restrictions, addressing inflation is generally more effective through other economic measures.

Note: correct because it identifies valid arguments for trade restrictions while clarifying that inflation management is primarily achieved through monetary policy, making it an inappropriate justification for imposing trade barriers.

End of Answer Key